

Memo to: Oaktree Clients Only

From: Howard Marks

Re: 2024 in Review

Last year was an unusual one. But then again, every year since the onset of the pandemic five years ago has seemed unusual. In 2024, externalities – mostly politics and geopolitics, but also climate events – were worrisome in many regards. However, most markets, and especially those in the U.S., were able to shrug them off. U.S. Federal Reserve watching continued to be a major preoccupation, with investors hanging on its every word or action. The Fed fell well short of investors' optimistic rate-cut expectations, but strangely, given this obsession, the markets did well anyway.

I think there are three main reasons for the U.S. markets' strong performance:

- The first is the strength of the U.S. economy, which is showing solid GDP growth without reliance on monetary stimulus, and with inflation largely under control. No other developed economy seems to be performing as well.
- The second is very positive investor sentiment. Over the last couple of years, there has been a rising tide of optimism and confidence, accompanied by risk tolerance, credulousness, and fear of missing out. Widespread expectations of success in the battle against inflation caused sentiment to strengthen in late 2022, and it has been reinforced since then by rate cuts and the prospect of an economic soft landing, and thus evaporation of recession fears.
- The third is "TINA" – the belief that there is no alternative. The preeminence of the U.S. economy, combined with its rule of law, spirit of innovation and entrepreneurship, and high-functioning (and generous) capital markets, means other markets have a tough time competing for investment dollars based on fundamentals (that is, provided investors are willing to overlook the premium prices, which it seems most are).

Put these three factors together, and investors are acting as if the only certainty is a penalty for failing to sufficiently overweight the U.S. This is a powerful combination, and we're seeing the result.

General Market Performance in 2024

For investors, 2024 was generally a very good year, with many high points but also a few lows. The S&P 500 returned more than 20% for the second year in a row, for only the fifth time in history according to JP Morgan. The NASDAQ was up considerably more than the S&P, which is normal in big up years, and the Dow was up less, but still double digits.

High grade bonds did so-so, but non-investment grade credit did very well. (Note: a good year for fixed income usually can't begin to compete with a good year for stocks.) The returns in non-investment grade liquid credit were what we call "coupon-plus": they benefitted from starting yields that were some of the highest since the Global Financial Crisis, to which they added a few points of capital appreciation. The appreciation was generally the result of (a) rising optimism as described above, (b) declining demand for risk protections, and (c) increased investor interest in credit and desire to put money to work there. Thus, total returns were uniformly in the range of 8-9% on non-investment grade liquid credit, and even higher on non-investment grade private credit.

Real estate struggled for obvious reasons, and traditional private equity was sluggish, with relatively few transactions taking place due to higher interest rates. Thus, relatively little of the vast dry powder in leverage-led private equity was put to work, few assets were liquidated, and distributions to LPs continued to run behind expectations.

Oaktree Performance

For Oaktree portfolios, 2024 was generally a very good year, reflecting the themes described above. Of our ten open-end credit strategies, eight outperformed their benchmarks and one essentially tied. The eight outperformers did so by unusually wide margins. Rather than the 10-50 basis points we often see, they outperformed by an average of 131 basis points. This caused the returns on the outperforming strategies to average 9.7%. It's interesting to note that usually when we outperform to this extent, it's because the markets fared poorly and our risk-conscious approach helped us avoid much of the loss. Last year was an excellent one for credit, marked by few defaults, and yet we outperformed by more than usual. An example of this good performance is U.S. Senior Loans, which made it into double digits with a return of 10.2%.

Two open-end strategies underperformed their benchmarks. The first was Structured Credit (mostly CLO and CMBS debt), which lagged primarily due to benchmarking issues but still returned 15.3%, the highest of all our liquid credit strategies. The second was Emerging Markets Equities, a non-credit strategy, which missed by 7.6 percentage points. EME is substantially overweight value stocks in China, Brazil, and other out-of-favor countries, and in 2024 they became more out-of-favor as investors pursued darlings, not contrarian plays. We believe this has rendered our stocks even more bargain-priced, and we expect to make up ground in 2025.

Performance was unusually mixed in our closed-end (ten-year lockup) and evergreen (shorter lockup) strategies. Reflecting the challenges facing the real estate sector as well as some asset-specific factors, our returns were negative in our four real estate strategies and two small legacy Principal strategies. The negative returns were all in single digits, averaging -5.3%.

On the other hand, in the ten positive-returning evergreen and closed-end strategies, the gains were double-digit in nine (if you'll grant me license to include one at 9.9%). The returns ranged upward from there, to a high of 31.6%, and averaged 18.0%. The nine (in no particular order) were Distressed Debt/Global Opportunities, Value Opportunities (evergreen version of Opps), Emerging Markets Opportunities, Special Situations (distressed and opportunistic private equity), Strategic Credit (private lending), Mezzanine, Middle Market Direct Lending, Power, and Emerging Markets Debt. The high returns were accomplished even though these strategies aren't highly levered. The tenth positive-returning strategy was European Private Debt, which gained 2.5%.

I'm pleased to report that the unweighted average composite return on all 27 strategies was 8.7% – even with four in real estate holding us back.

A Look at the Long Term

I include in each year-end review a section looking back on one of Oaktree's long-running strategies. This year, I'm going to discuss our activities in mezzanine debt, one of the first new strategies we embarked on after Oaktree's formation.

Mezzanine debt is one of the granddaddies of private lending. It began in the 1980s or '90s. At that time, most firms took on debt by either issuing public bonds or borrowing from banks. However, a few small firms issued mezzanine debt, populating a relatively obscure private lending niche. Just as in the theater, where the mezzanine level is in the middle (“mezzo” in Italian) between the orchestra and the balcony, mezzanine debt sits between a company’s equity and its senior debt. Mezzanine lenders make loans that are subordinated to the borrower’s other debt and in return receive high coupon rates and possibly equity kickers – either gratis or purchased – in the form of shares or warrants.

Given our prior experience in high yield bonds and distressed debt, Oaktree co-founder Sheldon Stone suggested in 2000 that we look at mezzanine debt as a logical step-out strategy. He suggested Gary Trabka to lead it and oversee credit analysis; in 1983, when I hired Sheldon away from Prudential Insurance to Citibank, Gary had taken Sheldon’s place as head of training in the Pru’s private placement department. Gary picked Bill Sacher to be his partner at Oaktree, tending to capital markets and marketing. The two built out their team, starting with the hiring of Raj Makam, and organized the first Oaktree Mezzanine Fund in 2001. In total, five Mezzanine funds have been raised, with total committed capital of just under \$6 billion. While Mezzanine is a niche strategy that doesn’t contribute much to Oaktree’s total assets under management, I’m very proud of the many ways in which the strategy and team exemplify what Oaktree is all about.

Philosophy and Approach – Mezzanine lending is another area where, just as with high yield bonds, we engage in the knowing acceptance of credit risk for profit. Thus, it’s a direct descendant of Oaktree’s earliest activities and a perfect place to apply our investment philosophy. **It’s a highly specialized, less-efficient niche market where Oaktree’s insistence on risk control and consistency pays off and for which our motto is perfectly suited: “if we avoid the losers, the winners will take care of themselves.”** This is fixed income investing, and if we can exclude defaulting issuers from our portfolios, we’ll get the return we contracted for on the debt.

But mezzanine’s equity component makes it a hybrid form of investing. When we were beginning to organize the effort, I had a discussion with the founding team that established the investment approach that’s followed to this day. **I said the investments’ hybrid nature gave us a choice: our mindset could be either “debt with a kicker” or “equity with a coupon.”** That is, we could put our primary emphasis on safeguarding principal and interest and treat the equity aspect as an attractive possible fillip, or we could be more venturesome and pursue situations where the equity is expected to pay off dramatically. Our decision was easy: we chose the former route, and it boiled down to a battle cry that guides the group to this day: **“Every loan pays!”** If we can make that happen, our return will have a solid base, and once in a while we’ll enjoy a bonus from the equity. This way of thinking is pure Oaktree.

Performance – Of course, the proof of a strategy’s “Oaktree-ness” lies in its performance, and the Mezzanine team’s results have been exceptional in terms of both level and consistency. Not all the loans have paid, but almost all. The credit loss ratio on our five Mezzanine funds has averaged 0.5% per year, and in no fund has it been above 0.7%. That overall average is half the annualized losses in the private debt universe and one-quarter of the loss rate in the high yield bond universe.

The outcome is equally good with regard to returns. The four Mezzanine funds formed from 2001 through 2014, which are mature, all show multiples on capital of 1.5x before fees and 1.3x or more after. The fifth fund, organized in 2019, shows a MOC of 1.3x gross/1.2x net thus far. The gross IRRs are in double digits on all five, and the net IRRs average 9.3%, without the use of fund-level leverage. This is a significant accomplishment, since the fed funds rate averaged only about half a percent in 2009-21. **My usual favorite subject is how well Oaktree does on its worst funds.** I’m glad to say Mezzanine Fund II, formed in 2005, in the leadup to the Global Financial Crisis, is included in the favorable results shown

above. It's net IRR is 7.2%. While the lowest of the five Mezz funds, I consider this return entirely respectable given the circumstances.

Mode of Operation – Two important ways to increase the chance of success in investment management are (a) to act in a disciplined way with regard to assets under management and (b) to avoid style creep. The Mezzanine group has consistently limited the size of its funds and stuck to its charter. I'm always proud when our portfolio managers eschew raising more money in order to preserve their ability to give our clients excellent risk-adjusted returns, and Mezzanine is a shining example.

Leadership Evolution – Nothing lasts forever, and that includes leadership teams. The question is whether an organization can competently manage succession and perpetuate its ethos and achievement. By 2014, both Gary Trabka and Bill Sacher had left Oaktree, but we were able to transition the management without skipping a beat. Raj Makam and Bill Casperson, both of whom were hired during the group's first year in operation, became the funds' co-portfolio managers. The funds clearly continued to perform well under their leadership.

Christina Lee joined the team in 2009 and was appointed assistant portfolio manager in 2022. Thus, she was fully ready to step in as co-portfolio manager shortly after Bill Casperson retired in 2023. She shares the duties equally with Raj, who is about to celebrate his 24th anniversary in the Mezz group. Raj and Christina lead a hard-working team with great *esprit de corps*, and I rarely walk by their conference room in New York without seeing them engaged in their constant credit deliberations and portfolio reviews.

It's a pleasure to have the Mezzanine team and their funds as part of Oaktree. Very low loss ratio, high returns, and who ever heard of five funds in a row with the same healthy multiple of capital? These are terrific credit professionals and great people to work with.

Fundraising

With total inflows of \$35.6 billion, 2024 was a record year for fundraising at Oaktree. As noted earlier, the private equity industry continues to be slow in making distributions, meaning limited partners aren't getting cash back as they expected and, as a result, are constrained in their ability to commit to new funds. We think it's at least in part for this reason that our fundraising for closed-end funds was limited to \$16.8 billion last year, less than in some peak years. However, our big years in closed-end fundraising usually occur when we initiate Opportunities Funds, and that wasn't the case in 2024. For a "non-Opps" year, 2024 was a great one. Our latest Power Fund notably picked up some of the slack.

On the other hand, it was an enormous year for open-end and evergreen strategies, with total inflows of \$18.9 billion, a big increase over our previous record of \$10.6 billion in 2014. We believe this growth was in response to the excellent opportunity for investing in credit, as described in my memos regarding the "sea change" in interest rates (and in another you'll receive very soon).

Other Developments

Of course, the most important 2024 event at Oaktree was the March 1 elevation of our new senior leaders. Bob O'Leary and Armen Panossian took over as co-CEOs, and Todd Molz was promoted from Chief Administrative Officer to Chief Operating Officer. The transition was quite smooth, as the three have been respected parts of the Oaktree organization since 2002, 2007, and 2006, respectively.

As the transition was first announced in June 2023, Bob, Armen, and Todd had lots of time to think about how they would operate and what they would do, and they hit the ground running. They've begun to make changes designed to increase efficiency, focus, and our range of offerings. The significant initiatives already implemented or announced include:

- the commitment of substantial resources to an important new strategy in asset-backed finance,
- the formation of an organized program with regard to co-investments,
- the creation of an information solutions department, and
- the establishment of a fully integrated Oaktree office in Hyderabad, India.

The expansion of our assets and our efforts to serve clients continues to occasion additions to staff, and as of the end of 2024, we were at 1,297 employees, not including a number of consultants in India who will soon become Oaktree employees. Again, I'm happy to say there were four "boomerangs," or employees who left Oaktree and returned. This brings the total for the last three years to 18.

Our relationship with Brookfield is going very well. It continues to be marked by high levels of cooperation and respect flowing in both directions. With five years behind us, we still haven't hit a bump in the road. The people of Oaktree are very proud of this association.

Finally, we passed a major milestone in 2024: the birth of Oaktree baby number 1,000. The 41 additions in 2024 brought the grand total to 1,015 births in just under 30 years. We're thrilled to note the optimism and energy this achievement connotes.

Oaktree will celebrate its 30th anniversary on April 10. This span has witnessed a number of significant developments, both good and bad:

- significant growth in economies and markets globally,
- the development of the internet into a remarkably indispensable part of life,
- the transition of alternative investing from a fringe activity to the most dynamic asset category,
- the Global Financial Crisis and Covid-19 global pandemic, and
- most unhappily, regional conflicts and unfortunate natural phenomena.

On the last point, while not a 2024 event, I can't fail to mention the toll taken by the terrible Los Angeles fires of early January. Sadly, 10 of our wonderful Oaktree colleagues lost their homes in the fires in Pacific Palisades and Altadena. Our hearts break for them. We've pledged our help in their recovery.

Outlook for 2025

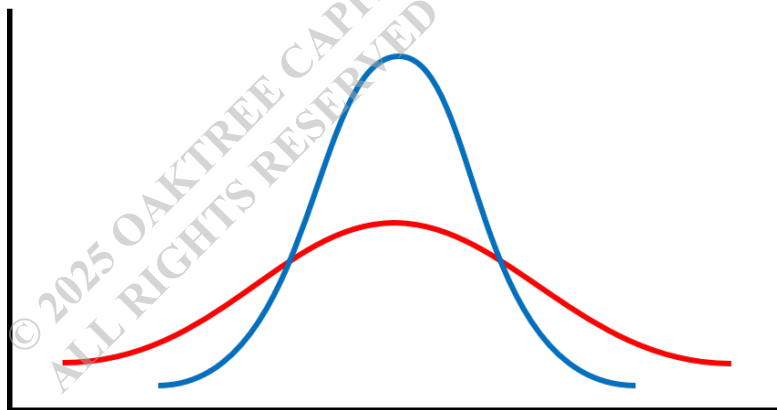
I was making my annual visit to clients in Asia at the time of the U.S. election in November, and then in the Middle East in December. Of course, the question on everyone's mind was . . . and still is . . . the impact of President Trump's return to office.

We can say with certainty that he intends to be a pro-business president. He expresses more support for business than the Democratic party has recently, and especially its left-most "progressive" faction. I think Trump believes in the time-honored credo that "what's good for General Motors is good for America" (but probably substituting Tesla for GM). He wants to impose tariffs, cut regulation, cut corporate taxes and, largely by increasing the production of oil and gas, bring down inflation and interest rates.

He doesn't enunciate an overarching economic ideology, and his decisions might seem inconsistent from time to time. Trump promises to bring down inflation, and people voted for him to do so, but opinion is near-unanimous that tariffs would raise the cost of living. He wants a weak dollar to promote exports, discourage imports, and bring production onshore, but that would increase the dollar price of the imported products on which we rely heavily, and which doubtless would cost more if produced in the U.S. He wants interest rates to be lower, but rising inflation would likely bring on higher rates, further burdening consumers (and causing the dollar to strengthen, not weaken). Tax cuts would add to deficits and the government's debt service burden (with the same impact on interest rates). And cutting programs Trump considers unwarranted or wasteful would likely reduce the flow of cash to the very states and individuals that supported him, many of which get more from the federal government than they pay in. These observations aren't unique to Trump, of course: every economic action has second- and third- order consequences, including some that are counterproductive, often rendering solutions elusive.

As a businessman focused on successful transactions, some of his statements are likely to be for purposes of negotiation. I've never had the sense that past presidents were bluffing, but Trump may be an exception. He thinks negotiators should be unpredictable, and other countries probably view him as the epitome of unpredictability. Further, rather than carry through with his promised actions and deal with their uncertain ramifications, I think he'd be happy to shake his big stick, extract concessions, notch victories, and move on.

The bottom line in all of this is unpredictability. In answering clients' questions, I find myself returning to an idea I employed when Trump first moved into the White House eight years ago. The actions of the average person – or the average president – might be described by the typical bell-shaped probability distribution shown in blue:



But in Trump's case, the distribution is more likely to be the one shown in red, marked by a less-pronounced "central tendency" and the possibility of "tail events" that both extend much further out and have higher probabilities of occurring. **Trump's intended actions could be good for the economy and the country, but uncertainty runs high surrounding his intentions and implementation, and no one should bet heavily that they know what he'll do.**

Putting government aside – as if that's possible – I think the U.S. economy will continue to function well. Because I don't detect particular excesses, there's no reason to expect much of a slowdown anytime soon;

interest rates are unlikely to either go back to the ultra-low levels of 2009-21 or soar; and the markets could well be kept aloft by the three factors listed on page 1. Of course, geopolitical events will always represent a wildcard. Trends in investor psychology are impossible to predict, and no one should ever think they know what will happen in that regard. The pundits didn't expect much in terms of stock market returns in 2023 or 2024, and they got barnburners. Investors tend to turn more optimistic after a couple of good years, and that could happen here. But, while positive sentiment could support the markets for a while, every year of double-digit stock market returns increases the probability that gravity will prevail eventually. I certainly have no idea whether 2025 will be the year in which it does so. **As you know, the bottom line for me continues to be that non-investment grade credit currently represents a better risk/return deal than the S&P 500.** Other markets and sectors may be lower-priced than the S&P, but the latter continues to be treated as a riskless default solution.

As 2025 begins, I think it's incumbent upon investors in the U.S. to take note of the following combination of factors:

- an extended economic recovery,
- the general predominance of optimism,
- above average equity valuations,
- below average risk premiums,
- a poorly functioning governmental/fiscal mechanism, and
- substantial geopolitical uncertainty.

I am far from ringing a general alarm bell, but investors who believe in adjusting their risk posture in response to prevailing conditions might choose at this point to somewhat emphasize defensiveness over aggressiveness. Increased allocations toward lending strategies and away from ownership strategies can play a significant part in this. (Please note that while Oaktree is very much a global firm, my insights – and thus my comments here – relate primarily to the U.S.)

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With new leadership in place, Oaktree is moving into its fourth decade with its strongest team ever, continued adherence to the principles and approach that got us here, a growing global presence, and strategies that are highly relevant in today's post-sea change environment. Especially given the rapid change taking place in the world, we're fortunate to have access to highly talented individuals in-house who are a generation younger, great at their jobs, and powerful Oaktree culture carriers.

My Co-Chairman Bruce Karsh, Vice Chairman John Frank, and I are pleased to hand over responsibility for running Oaktree to Armen, Bob, and Todd, while we remain fully engaged as advisers, partners, and shareholders. We look forward enormously to working with them to serve you in the years to come.

February 19, 2025

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